

CITY OF STANTON

ANNUAL DEVELOPMENT IMPACT FEE REPORT (AB1600)

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November 13, 2023

To the Honorable Mayor, Members of the City Council, and Citizens of Stanton:

State law requires any local agency that imposes development impact fees to prepare a five-year report providing specific information about those fees. Therefore, in accordance with the provisions of the California Government Code Section 66000 et seq., as amended by the Assembly Bill (AB) 518 and Senate Bill (SB) 1693, I hereby submit the Development Impact Fee (DIF) Report for the City of Stanton, California for the Fiscal Year (FY) ended June 30, 2023.

DIFs are charged by the local government agencies in connection with approval of development projects. The purpose of these fees is to defray all or a portion of the cost of public facilities related to the development project. The legal requirements for enactment of a DIF program are set forth in Government Code Sections 66000-66025 (the "Mitigation Fee Act"), the bulk of which was adopted as 1987's AB 1600 and, thus, commonly referred to as "AB 1600 requirements".

In Stanton, DIFs are collected on or before the issuance of building permit or date the certificate of occupancy is issued for the purpose of mitigating the impacts caused by new development on the City's infrastructure. Fees are used to finance the acquisition, construction and improvement of public facilities needed as a result of this new development. A separate fund has been established to account for the impact of new development on each of the following types of facilities: Streets (Fund 261), Traffic Signals (Fund 262), Community Centers (Fund 263), and Police Facilities (Fund 264). Although not included in the City's DIF program, this report also includes reporting for the City's sewer connection fees as well to comply with California Government Code section 66013. The activity for these fees is accounted for in the Sewer Capital Improvement Fund (Fund 502).

California Government Code sections 66006 (b) and 66013 require the City prepare and make available to the public the DIF and Sewer Connection Fees Report within 180 days after the last day of each fiscal year. The City Council must review the annual report at a regularly scheduled public meeting after the information is made available to the public. The report was made available to the public for review through public notification on November 13, 2023.

Respectfully submitted,

Michelle Bannigan

Michelle Bannigan
Finance Director



7800 Katella Avenue
Stanton, CA 90680



P | (714) 379-9222
F | (714) 890-1443



stanton@ci.stanton.ca.us
www.ci.stanton.ca.us

INTRODUCTION

LEGAL REQUIREMENTS FOR DEVELOPMENT IMPACT FEE REPORTING

A. California Government Code Section 66006 (b)

Government Code Section 66006 (b) defines the specific reporting requirements for local agencies that impose AB 1600 DIF on new development. Annually, for each separate fund established for the collection and expenditure of DIFs, the local agency shall, within 180 days after the last day of each fiscal year, make available to the public the information shown below for the most recent fiscal year.

- A brief description of the fee;
- The amount of the fee;
- The beginning and ending balance of the account or fund;
- The amount of the fees collected, and the interest earned;
- An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees;
- An identification of an approximate date by which the construction of the public improvement will commence, if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement;
- A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid, and the rate of interest that the account or fund will receive on the loan; and
- The amount of refunds made due to insufficient funds being collected to complete financing on incomplete public improvements, and the amount of reallocation of funds made due to administrative costs of refunding unexpended revenues exceeding the amount to be refunded.

B. California Government Code Section 66001 (d)

For all funds established for the collection and expenditure of DIFs, Government Code Section 66001 (d) has additional requirements. For the fifth fiscal year following the first deposit into the fund and every five years thereafter, the local agency shall make all of the following findings with respect to that portion of the fund remaining unexpended, whether committed or uncommitted:

- Identify the purpose to which the fee is to be put;
- Demonstrate a reasonable relationship between the fee and purpose for which it is charged;

- Identify all sources and amounts of funding anticipated to complete financing in incomplete improvements; and
- Designate the approximate dates on which the funding is expected to be deposited into the appropriate account or fund.

C. Additional Notes

The State of California Government Code Section 66002 states that local agencies that have developed a fee program may adopt a Capital Improvement Program (CIP) indicating the approximate location, size, and timing of projects, plus an estimate for the cost of all facilities or improvements to be financed by fees.

D. Establishing a Reasonable Relationship Between the Fee and the Purpose for Which It Is Charged

On April 12, 2011, the City Council adopted Ordinance No. 977, establishing a DIF program. The DIF fees became effective on June 12, 2011 and are applied to new or expanded commercial development, new residential development, and upon uses which intensify the use of existing commercial or residential structures. Adjustment to the fees is generally made annually in accordance with the Bureau of Labor Statistics Consumer Price Index for all Urban Consumers. The DIF's nexus study sets forth the relationship between contemplated future development, facilities needed to serve future development and the estimated costs for those improvements based on the current General Plan.

DESCRIPTION AND PURPOSE OF DEVELOPMENT IMPACT FEES

The City collects DIFs to offset and address the impacts of new development on facilities and infrastructure. Currently, there are four DIF categories: Streets, Traffic Signals, Community Centers, and Police Facilities. While each fee category has its own methodology for determining fees, two main principles apply throughout:

- 1) The City aims to maintain the existing level of service as the City continues to grow; and
- 2) New development should pay its fair share of the City's infrastructure needs.

Streets – To provide for the expansion of existing primary and secondary arterial streets as set forth in the nexus study. The purpose of the streets impact fee is to fund roadway improvements to serve new development. The street impact fees will be used to widen and restripe streets to provide additional lanes. The need for street improvements is based on the trip demand placed on the system by new development.

Traffic Signals – To provide for additional traffic signals as set forth in the nexus study. The Public Works Department identified a list of traffic signals at intersections on the primary circulation system with the changes in land use and the resulted changes in number of lanes and traffic flow that will be needed to serve development within the City. Thirteen traffic signals were identified that will require improvement in order to better handle the change in traffic flow in the City due to new development.

Community Centers – To provide for the expansion, design and construction of community centers as set forth in the nexus study. The purpose of the fee is to ensure that new development funds its fair share of community centers, based on facilities referenced in the 2011 DIF nexus study. At the time of the nexus study, the City had three community center facilities totaling 27,660 square feet that served a population of approximately 39,000 residents. The nexus study provides for an additional 709 square feet of additional community centers per each residential population increase of 1,000.

Police Facilities – To provide an adequate level of police services. The increased need for services necessitates the construction of an additional facility in order that efficient services may be provided. As of the 2011 DIF nexus study, the Stanton Police Station included an 8,000 square foot facility for 34 police officers, which is approximately 235 square feet per sworn police officer. As the City's population increases due to new development, an increase in police facilities space will be needed to provide administrative support space and other police facilities for a larger police staff. Demand for services and associated facilities are based on the City's residential population.

DESCRIPTION AND PURPOSE OF SEWER CONNECTION FEE

The most recent sewer connection fee was approved by the City Council on June 12, 2018, with the adoption of Resolution No. 2018-19. The purpose of the fee is to connect a structure to the public sewer system. Similar to California Government Code section 66006 (b). California Government Code section 66013 (d) defines the specific reporting requirements for local agencies that impose a fee for sewer connections. The local agency shall make available to the public, within 180 days after the last day of the fiscal year, the following information for that fiscal year:

- A description of the charges deposited in the fund;
- The beginning and ending balance of the account or fund and the interest earned from investment of moneys in the fund;
- The amount of charged collected in that fiscal year.
- An identification of each public improvement on which charges were expended and the amount of the expenditure for each improvement, including the total percentage of the cost of the public improvement that was funded with those charges if more than one source of funding was used;
- An identification of each public improvement on which charges were expended that was completed during that fiscal year;
- Each public improvement that is anticipated to be undertaken in the following fiscal year; and
- A description of each interfund transfer or loan made from the capital facilities fund. The information provided, in the case of an interfund transfer, shall identify the public improvements on which the transferred moneys are, or will be expended. The information, in the case of an interfund loan, shall include the date on which the loan will be repaid, and the rate of interest that fund will receive on the loan.

FEE SCHEDULE

The table below lists Fees in effect as of June 30, 2023.

Developer Impact Fees

Fee	Low Density	Median Density	High Density (1)
Street Fee	\$ 650	\$ 456	\$ 398
Traffic Signal Fee	\$ 145	\$ 102	\$ 89
Community Center Fee	\$ 295	\$ 295	\$ 295
Police Facilities Fee	\$ 267	\$ 267	\$ 267
Total DIF	\$ 1,357	\$ 1,120	\$ 1,049

Sewer Connection Fee

The City's sewer connection fee is \$2,900 per connection.

CITY OF STANTON
Financial Summary Report of
Developer Impact Fees/Sewer Connection Fees
Pursuant to Government Code Sections 66006 and 66013
as of June 30, 2023

		Developer Impact Fees				Sewer
		Streets Impact Fee (Fund 261)	Traffic Signals Impact Fee (Fund 262)	Community Centers Fee (Fund 263)	Police Facilities Fee (Fund 264)	Connection Fee (Fund 502)
Beginning Fund Balance	06/30/22	\$ 101,872.44	\$ -	\$ 169,388.42	\$ 153,046.56	\$ 2,844.13
<u>Revenues</u>						
Developer Fees		5,753.60	1,287.13	4,266.38	3,861.43	-
Sewer Connection Fees		-	-	-	-	105.00
Interest Income		2,749.07	15.95	4,502.27	4,068.73	77.32
Unrealized Gains (Losses)		(818.81)	(7.74)	(1,328.94)	(1,201.31)	(22.48)
Total Revenues		<u>7,683.86</u>	<u>1,295.34</u>	<u>7,439.71</u>	<u>6,728.85</u>	<u>159.84</u>
<u>Expenditures</u>						
None		<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
Total Expenditures		<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
Ending Fund Balance (A)	06/30/23	<u>\$ 109,556.30</u>	<u>\$ 1,295.34</u>	<u>\$ 176,828.13</u>	<u>\$ 159,775.41</u>	<u>\$ 3,003.97</u>
<u>Five-Year Revenue Test:</u>						
Fiscal Year 2018/19		\$ 47,673.94	\$ 10,662.11	\$ 33,398.85	\$ 30,228.79	
Fiscal Year 2019/20		59,848.87	13,383.08	43,237.84	39,133.91	
Fiscal Year 2020/21		58,410.82	13,140.33	41,080.23	36,914.04	
Fiscal Year 2021/22		20,593.00	4,459.14	13,995.62	12,669.95	
Fiscal Year 2022/23		7,683.86	1,295.34	7,439.71	6,728.85	
Total Revenue Received for Five-Year Period Ended 6/30/2023 (B)		<u>\$ 194,210.49</u>	<u>\$ 42,940.00</u>	<u>\$ 139,152.25</u>	<u>\$ 125,675.54</u>	

CITY OF STANTON
Financial Summary Report of
Developer Impact Fees/Sewer Connection Fees
Pursuant to Government Code Sections 66006 and 66013
as of June 30, 2023

	Developer Impact Fees				Sewer
	Streets Impact Fee (Fund 261)	Traffic Signals Impact Fee (Fund 262)	Community Centers Fee (Fund 263)	Police Facilities Fee (Fund 264)	Connection Fee (Fund 502)
Unexpended Impact Fees and Interest in Excess of Total Receipts for Last Five Years (A) Less (B)	\$ -	\$ -	\$ 37,675.88	\$ 34,099.87	
Committed to Capital Projects - Fiscal Year 2023/24	\$ -	\$ -	\$ -	\$ -	
Amount in Excess of Allowed Deposit	\$ -	\$ -	\$ 37,675.88	\$ 34,099.87	
	SEE NOTE 1	SEE NOTE 1	SEE NOTE 2	SEE NOTE 3	

Notes:

(1) - The five-year revenue test is met in accordance with Government Code Section 66001(d).

(2) - Community Centers Fees have not been committed to a future project as of June 30, 2023, because the City is still accumulating sufficient revenue to fund the cost of new facilities (or increase the square footage of existing facilities). Per the 2011 DIF nexus study, the estimated cost of a new Community Center facility was \$2.2 million.

(3) - Police Facilities Fees have not been committed to a future project as of June 30, 2023, because the City is still accumulating sufficient revenue to fund the cost of new facilities (or increase the square footage of existing facilities). Per the 2011 DIF nexus study, the estimated cost of a new facility was \$2 million.

NOTE TO THE DEVELOPMENT IMPACT FEE REPORT

The note addresses an item required by California Government Code Section 66006 (b).

Note 1 – Refund of Developer Fee

At this time, all fees being collected pursuant to the DIF program have been earmarked for current or future capital projects necessary to maintain the current levels of services within existing service areas to serve new development.

DEVELOPMENT IMPACT FEE AND SEWER CONNECTION FEES PROJECT IDENTIFICATION

The DIF projects identification table illustrates the following reporting requirements defined by California Government Code Section 66006 (b):

- An identification of each public improvement on which fees were expended and the amount of expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.
- An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement.

The Sewer Connection Fee projects identification table illustrates the following reporting requirements defined by California Government Code Section 66013 (d):

- An identification of each public improvement on which fees were expended and the amount of expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees.
- An identification of each public improvement that is anticipated to be undertaken in the following fiscal year.

CITY OF STANTON
Developer Impact Fees Project Identification
Fiscal Year Ended June 30, 2023

					Developer Impact Fees			
Project No.	Project Name	Project Phase	Estimated Completion Date	Estimated Project Cost	Budget Through 6/30/2023	Actual Through 6/30/2023	% Complete	% Funded with Developer Impact Fees
<u>Streets Impact Fee (Fund 261)</u>								
211-3510-710205	Cerritos Avenue Widening Project	Completed	June 2020	\$ 208,963	\$ 140,200	\$ 140,200	100.0%	67.1%
N/A	Garden Grove Blvd. Widening (East of Beach Blvd.)	Not Planned	N/A	1,300,000	-	-	0.0%	0.0%
N/A	Dale Ave. Widening (North of Lola Ave. to S. of Chapman)	Not Planned	N/A	4,225,000	-	-	0.0%	0.0%
N/A	Cerritos Avenue Widening (W. of Knott Ave. to E. of Magnolia)	Not Planned	N/A	5,225,000	-	-	0.0%	0.0%
N/A	Katella Widening (Beach to Dale)	Not Planned	N/A	1,100,000	-	-	0.0%	0.0%
Total Streets DIF				12,058,963	140,200	140,200	0.0%	1.2%
<u>Traffic Signals Impact Fee (Fund 262)</u>								
2021-105	Fiscal Year 2020/21 Annual Traffic Signal Improvements	Not Started	June 2022	109,784	55,109	54,068	100.0%	49.2%
N/A	Traffic Signal at Katella Ave./Dale Ave.	Not Planned	N/A	1,000,000	-	-	0.0%	0.0%
N/A	Traffic Signal at Katella Ave./Magnolia Ave.	Not Planned	N/A	1,000,000	-	-	0.0%	0.0%
N/A	Traffic Signal at Orangewood Ave./Knott Ave.	Not Planned	N/A	1,000,000	-	-	0.0%	0.0%
N/A	Traffic Signal at Orangewood Ave./Western Ave.	Not Planned	N/A	1,000,000	-	-	0.0%	0.0%
N/A	Traffic Signal at Orangewood Ave./Dale Ave.	Not Planned	N/A	1,000,000	-	-	0.0%	0.0%
N/A	Traffic Signal at Chapman Ave./Dale Ave.	Not Planned	N/A	1,000,000	-	-	0.0%	0.0%
N/A	Traffic Signal at Lampson Ave./Beach Blvd.	Not Planned	N/A	1,000,000	-	-	0.0%	0.0%
N/A	Traffic Signal at Garden Grove Blvd./Beach Blvd.	Not Planned	N/A	1,000,000	-	-	0.0%	0.0%
N/A	Traffic Signal at Cerritos Ave./Knott Ave.	Not Planned	N/A	1,000,000	-	-	0.0%	0.0%
N/A	Traffic Signal at Cerritos Ave./Western Ave.	Not Planned	N/A	1,000,000	-	-	0.0%	0.0%
N/A	Traffic Signal at Cerritos Ave./Beach Blvd.	Not Planned	N/A	1,000,000	-	-	0.0%	0.0%
N/A	Traffic Signal at Cerritos Ave./Dale Ave.	Not Planned	N/A	1,000,000	-	-	0.0%	0.0%
N/A	Traffic Signal at Cerritos Ave./Magnolia Ave.	Not Planned	N/A	1,000,000	-	-	0.0%	0.0%
Total Traffic Signals DIF				13,109,784	55,109	54,068	0.0%	0.4%
<u>Community Centers Impact Fee (Fund 263)</u>								
N/A	Additional 14,170 square feet of community centers	Not Planned	N/A	2,210,000	-	-	0.0%	0.0%
Total Community Centers DIF				2,210,000	-	-	0.0%	0.0%
<u>Police Facilities Impact Fee (Fund 264)</u>								
N/A	Additional 4,000 square feet of police facilities	Not Planned	N/A	2,000,000	-	-	0.0%	0.0%

Note:

(1) This schedule was prepared based on the 2011 Developer Impact Fee Nexus Study and the City's Capital Improvement Program Budget.

CITY OF STANTON
Sewer Connection Fees Project Identification
Fiscal Year Ended June 30, 2023

Project No.	Project Name	Project Phase	Estimated Completion Date	Estimated Project Cost	Sewer Connection Fee Portion			
					Budget	Actual	% Complete	% Funded with Sewer Connection Fees
<u>Fiscal Year 2021/22</u>								
No expenditures were incurred during Fiscal Year 2021/22. The City has been working on an update of its Sewer Master Plan update to identify future sewer capital project needs.								
<u>Fiscal Year 2022/23</u>								
No expenditures were incurred during Fiscal Year 2022/23. The City has been working on an update of its Sewer Master Plan update to identify future sewer capital project needs.								
<u>Projects Planned for Fiscal Year 2023/24</u>								
2024-301	Annual Sewer Rehabilitation Project-Fiscal Year 2023/24	Planned	June 2025	\$ 550,000				

RESOLUTION NO. 2023-28

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF STANTON TO RECEIVE AND FILE THE FISCAL YEAR 2022/23 DEVELOPMENT IMPACT FEE REPORT AND MAKE CERTAIN FINDINGS, AS REQUIRED BY CALIFORNIA GOVERNMENT CODE SECTION 66000 et seq.

WHEREAS, on April 11, 2011, the City Council approved Ordinance 977 adopting the City of Stanton's Development Impact Fee program applicable to new or expanded commercial development and new residential development projects, which became effective on June 12, 2011; and

WHEREAS, on June 14, 2022, the City Council approved Resolution No. 2022-32 adopting the Fiscal Year 2022/23 Operating Budget and Capital Budget; and

WHEREAS, California Government Code Section 66006(b) requires that for each separate account or fund established for the collection and expenditure of Development Impact Fees, the City shall make available to the public within one hundred eighty (180) days after the last day of each fiscal year a report; and

WHEREAS, California Government Code Section 66006(b)(2) requires that the City review the information made available to the public at a regularly scheduled public meeting after the information is made available to the public; and

WHEREAS, this report was filed with the City Clerk's office and available for public review on November 13, 2023; and

WHEREAS, the City has complied with all of the foregoing provisions.

NOW, THEREFORE, BE IT RESOLVED THAT THE CITY COUNCIL OF THE CITY OF STANTON DOES HEREBY FIND AND DETERMINE THAT THE FOREGOING RECITALS AND DETERMINATIONS ARE TRUE AND CORRECT:

SECTION 1: That the City Council of the City of Stanton at a public meeting has reviewed the following information, attached as "Exhibit A", pursuant to California Government Code Section 66006(b)(1), as is required by California Government Code Section 66006(b)(2), including:

- (A) A brief description of the type of fee in the account or fund;
- (B) The amount of the fee;
- (C) The beginning and ending balance of the account or fund;
- (D) The amount of fees collected, and the interest earned;
- (E) An identification of each public improvement on which fees were expended and the amount of the expenditure of each improvement, including the total percentage of the cost of the public improvement that was funded with fees;
- (F) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in Section 66001(a)(2), and the public improvement remains incomplete;

- (G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid, and the rate of interest that the account or fund will receive on the loan; and
- (H) The amount refunds made pursuant to Section 66001(e) and any allocations pursuant to Section 66001(f).

SECTION 2: That the City Council of the City of Stanton at a public meeting has reviewed the proposed findings for unexpended funds, including:

- (1) Identifying the purpose to which the fee is to be put;
- (2) Demonstrating a reasonable relationship between the fee and the purpose for which it is charged;
- (3) Identifying all sources and amounts of funding anticipate to complete financing in incomplete improvements; and
- (4) Designating the approximate dates on which the funding referred to in subparagraph (C) is expected to be deposited into the appropriate account or fund.

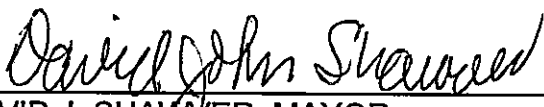
SECTION 3: That the City Council of the City of Stanton hereby determines that all reportable fees, collections, and expenditures have been received, deposited, invested, and expended in compliance with the relevant sections of the California Government Code and all other applicable laws for Fiscal Year 2022/23.

SECTION 4: That the City Council of the City of Stanton hereby determines that no refunds and allocations of reportable fees, as required by California Government Code Section 66001, are deemed payable at this time.

SECTION 5: That the City Council of the City of Stanton hereby determines that the City is in compliance with California Government Code Section 66000, *et seq.*, relative to receipt, deposit, investment, expenditure, or refund of reportable fees received and expended relative to city facilities for new development for Fiscal Year 2022/23.

SECTION 6: The City Clerk shall certify as to the adoption of this Resolution.

PASSED, APPROVED, AND ADOPTED this 28th day of November 2023.



DAVID J. SHAWVER, MAYOR

APPROVED AS TO FORM:



HONGDAO NGUYEN, CITY ATTORNEY

ATTEST:

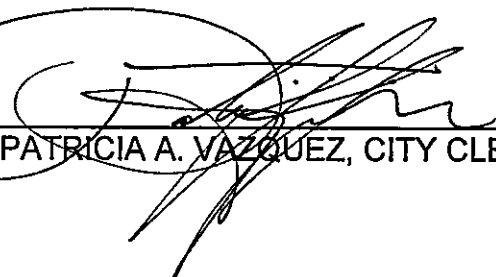
I, Patricia A. Vazquez, City Clerk of the City of Stanton, California DO HEREBY CERTIFY that the foregoing Resolution, being Resolution No. 2023-28 has been duly signed by the Mayor and attested by the City Clerk, all at a regular meeting of the Stanton City Council, held on November 28, 2023, and that the same was adopted, signed, and approved by the following vote to wit:

AYES: Shawver, Taylor, Torres, Van, Warren

NOES: None

ABSENT: None

ABSTAIN: None



PATRICIA A. VAZQUEZ, CITY CLERK